

Beat of Wall Street.” The article documented the surprising increase in teens’ interest in the stock market, and concluded by saying that for some, “even the Big Board is old hat...[they’re now] eyeing the Chicago Board Options Exchange.”

Preparing for a Psychological Change At the Point of Recognition

There is a point along the way in every bull market when investors suddenly seem to get the message. It always happens in the “third wave of the third wave,” the centerpoint of the entire structure. As that point approached (see Elliott Wave details in Appendix C of *Elliott Wave Principle*), *The Elliott Wave Theorist* prepared readers for a big change and counseled them not to be spooked by it:

From the black sentiment conditions of December, *we should now expect a rapid shift toward bullish sentiment*. Primary wave ③ in the Dow will be the phase during which most investors *change their minds* on the long term trend from cautious to bullish in a flash of recognition. — February 4, 1985

The psychological setup for the acceleration phase of Primary wave ③ is as close to perfect as it can get. — September 30, 1985

The acceleration phase began right then, and in January 1986, the stock market passed the “point of recognition.” The abruptness of the public’s change from apparently total disinterest to full-bore participation when the Dow crossed 2000 was as if someone had flipped a switch on the collective mind. The entire psychology of the market changed dramatically, and in a flash. Brokerage houses rushed out “Dow 3000” bullish reports. Market letter writers dropped to a paltry 13% bears. *USA Today* headlined, “Small Investors Dive Into the Market.” A single article in March 1986 contained all the following quotes: “This is the easiest market in the world to call” (September, October, November, December, January and February, on the other hand, were tough!); “There is nothing negative on the horizon”; “For any kind of [economic] number that comes out, investors will come up with a favorable interpretation”; “Look out for 70- to 100-point days — we’re going to get ‘em”; “Everyone’s talking about 1800, but the next step is really [to] 2000.” On March 17, *Business Week* magazine, which had announced “The Death of Equities” on its cover in August 1979 with the Dow in the 800s, put a bull on its cover, subheadlining “The Stock Market Rally is Far From Over.”